INDONESIA · REFERENCE SHEET

The 3 Ways to Own Property in Indonesia

A quick reference for foreign investors without Indonesian residency

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ROUTE 1

Lease the land directly

Hak Sewa

ENTITY NEEDED

None

SETUP COST

Lease price + notary (~0.5–1.5%)

CAPITAL TIED UP

None beyond the lease

CAN YOU RENT IT OUT

Yes, with a tourism license

TAX ON PROFIT LEAVING INDONESIA

Flat 10% on gross rental, final

REAL RISK

Weak lease contract

ROUTE 2

Set up a company

PT PMA

ENTITY NEEDED

Indonesian company

SETUP COST

~$3,000–7,000

CAPITAL TIED UP

~$150,000 paid-up (stays in the company, not lost)

CAN YOU RENT IT OUT

Yes, at scale, costs deductible

TAX ON PROFIT LEAVING INDONESIA

22% company tax, then 20% dividend tax (treaty may reduce)

REAL RISK

Getting the treaty paperwork wrong

ROUTE 3

Buy equity in the structure

Singapore SPV

ENTITY NEEDED

Singapore holding co + Indonesian company underneath

SETUP COST

Set by the deal

CAPITAL TIED UP

Your equity stake, size varies

CAN YOU RENT IT OUT

Depends on the deal terms

TAX ON PROFIT LEAVING INDONESIA

Same 22%/20% underneath, only reduced if the SPV has real substance

REAL RISK

Shell company losing the treaty benefit

Written for foreign investors without Indonesian residency. Full breakdown, including the catch nobody mentions with each one, at invest.andaluma.com.

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